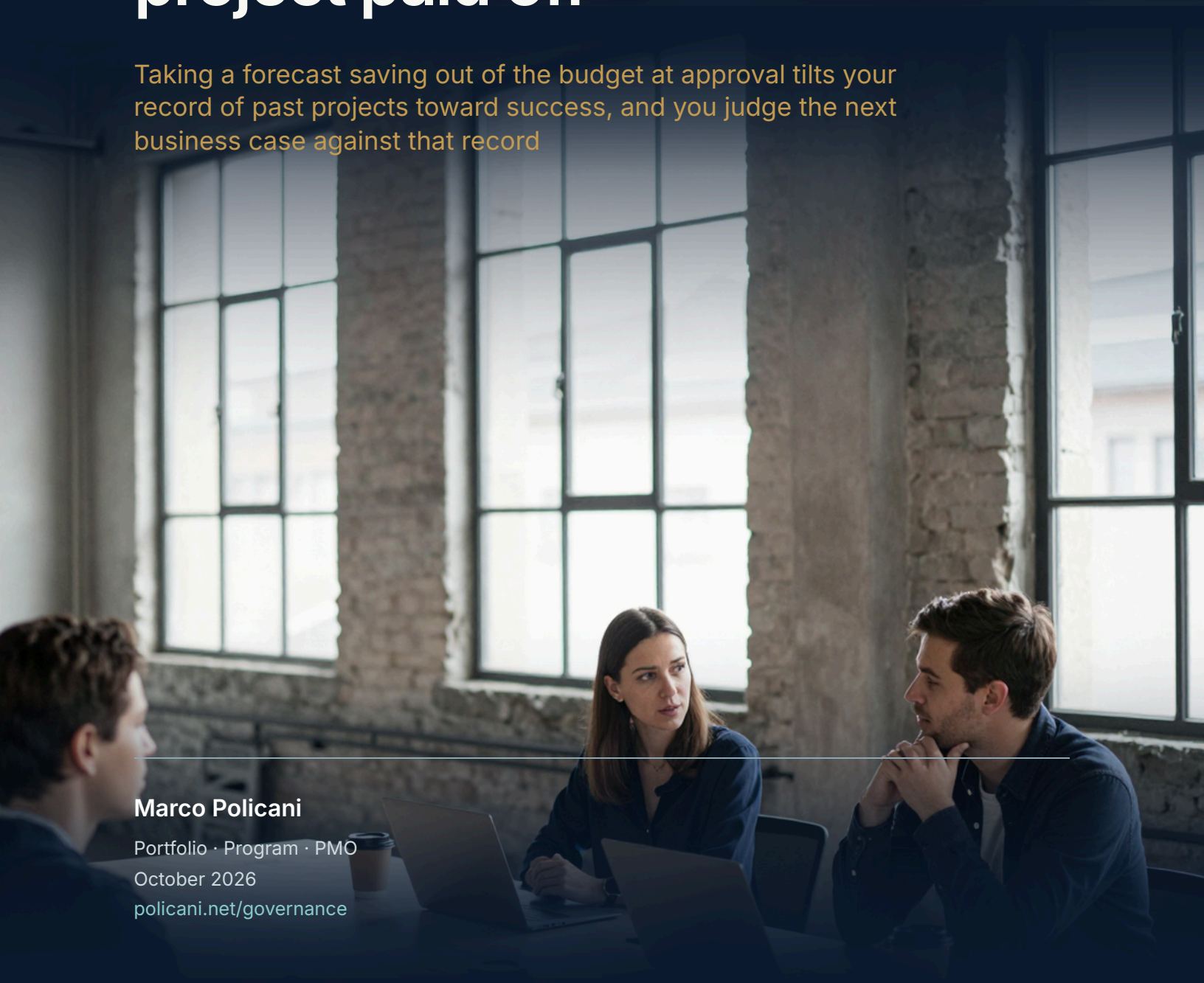
WHITE PAPER · PORTFOLIO AND AI GOVERNANCE

Cutting the budget at approval hides whether the project paid off

Taking a forecast saving out of the budget at approval tilts your record of past projects toward success, and you judge the next business case against that record



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THE CENTRAL ARGUMENT

Many finance leaders take a project's forecast saving out of next year's budget at approval. They close the benefit once the lower budget holds. But if the saving falls short, the budget holder may fill the gap from elsewhere. Then the budget holds whether or not the project produced the saving, and the benefits check passes. The cut adds false successes but no false misses. So the record leans toward success, and the next similar business case is judged against that record. Keep the cut, but check where the money came from against an operating measure the cut did not set.

You approve a project because it will save money. You know the usual practice. It says to name a benefit owner outside the delivery team, record a baseline, and review the result some months after go-live. You also know that a saving left in a budget tends to get spent on something else. So you do what careful finance leaders do. You take the forecast saving out of next year's budget when you approve the project. When the lower budget holds through the year, you close the benefit and move on.

That discipline has a cost that does not show in the year you take the money. Once the saving is out of the budget, the person who runs that budget has to live within the lower number. If the project's saving comes late or short, they will look for the money elsewhere. Where they find it, the budget holds. The benefits check then passes whether or not the project produced the saving. The more of an unproven forecast you take out, the more there may be to fill, and the less the check can see. Over time your record leans toward success. It shows more successful projects of this kind than you actually had. If you judge the next similar business case against that record, it looks safer than it is.

You do not have to give up the cut. You have to stop closing the benefit because the budget held. At approval, name one measure of the work the project is supposed to change. Also record what each unit of change actually saves. At year end, ask how the lower budget was met and whether each part will recur. Check the answer against that measure. Count as the project's saving only what the measure and the money both show.

ARGUMENT AT A GLANCE

What the record can and cannot see

What the cut does
Moves the risk of a wrong forecast to the budget holder.

What the record shows
A pass whenever the budget holds, whatever filled the gap.

What to check
An operating measure the cut did not set in advance.

Applies to cost savings taken out of the budget at approval and tracked only in money against the budget that was cut.

Where the risk goes when the budget is cut

Cutting the budget early has a good reason behind it. Consultants at Bain describe how savings that purchasing teams negotiate often never reach the bottom line. That happens because business leaders "use them quickly to plug a hole elsewhere or fund a priority project" [1]. Their advice is that successful companies reduce budgets "as soon as the savings are booked." The most effective approach, they write, is to "anticipate procurement savings in advance and incorporate them when the budget is being set up" [1]. Their setting is purchasing. But the logic carries to any project approved on a saving: money left in a budget leaks.

Now look at what the cut does to a saving that is still a forecast. Before the cut, the risk that the forecast is wrong sits in the benefits record. If the saving does not come, the record shows a miss. After the cut, that risk moves to the budget holder, the manager who has to run the unit on the lower number. The record no longer carries the uncertainty. A person does. So the question becomes what that person does when the project's saving has not arrived.

How a lower budget gets met

A manager held to a budget will try hard to meet it. The economist Michael Jensen argued that people judged against a budget target "game the realisation" of it, by legitimate or illegitimate means [2]. One of his examples is "moving expenses from this year to the future (by delaying purchases, for example)" [2]. His argument is about pay

tied to budget targets. He gives cases, not a measured rate. A budget holder told to live within a cut budget faces the same kind of pressure. This paper applies his reasoning to that setting.

English public hospitals give a measured example. Each year, NHS providers plan the savings they will make. They report each saving as continuing or one-off. Nine months into 2015/16, they had planned for 90 percent of their savings to be continuing. They got 75 percent [3]. Continuing savings were 520 million pounds short. The regulators reported that acute hospitals, which made up about 80 percent of that shortfall, "compensated" for it with 211 million pounds of one-off savings [3]. These are public hospitals working under yearly savings plans, not a company that cut a budget when it approved a project. But the pressure is the same kind. A saving was required, the planned source fell short, and other sources filled part of the gap.

So a budget that holds does not show that the project delivered. Part of what held it may have come from elsewhere.

Why the review can no longer tell

Standard practice says to track each benefit against an agreed measure. For a cash saving, the usual measure is money: spending against the budget the saving was taken from. Once the forecast saving is out of that budget, the budget holder must live within it. If you close the benefit when that same budget holds, the measure and the budget are one number.

Follow that through. If the budget holds, the benefit reads as delivered, whatever produced the money. If the budget overruns, the record shows a shortfall. But it cannot say whether the project failed or something else went wrong. Either way, the check cannot tell where the saving came from. This follows from the arithmetic, not from a study. It applies wherever a cash saving is tracked only in money, against the budget that was cut. Where the benefit is tracked on one narrower cost line, money found on other lines does show up as a miss. Money found on the same line, such as a delayed purchase, still does not.

The NHS figures were visible only because each saving was tagged as continuing or one-off [3]. A company budget carries no such tag. It records that spending stayed within the budget. It does not record why.

"I got the money either way"

A finance leader can reasonably answer that none of this matters. The budget held. The money was saved. If the squeeze on the budget found savings elsewhere, good: finding them is what budget discipline is for. That is a fair point about the money. It is not a point

about the project. Three costs follow, and none shows up in the year of the cut.

First, the wrong thing gets the credit. If the squeeze found the money, the squeeze worked and the project may not have. The record says the project did. You keep the saving, but you learn the wrong lesson about where it came from.

Second, some other ways of meeting the budget do not last. A delayed purchase or an unfilled position comes back as a cost later. Meanwhile the record has booked a continuing saving. Next year's budget pressure will reveal the cost, but as that unit's problem, not as this project's shortfall. The project's benefit stays closed as delivered.

Third, if you use past results to judge new business cases, the record misleads that judgment, and it misleads in one direction. Where budget holders can fill the gap, a held budget is recorded both when the project worked and when it did not. A miss is recorded only when the gap could not be filled. Other pressures can make a working project look like a miss. But nothing in the cut does that. The cut adds only false successes. So on balance the record shows more successes than happened. An error that leans one way does more harm than random noise.

The planning scholar Bent Flyvbjerg showed that project forecasts are biased, not just noisy [4]. His cure is to check each new forecast against what similar past projects actually delivered [4]. His evidence comes from large infrastructure, and his concern is biased forecasts. A record of results that leans toward success weakens his cure from the results side. Suppose your own record says this kind of project reliably pays off. Then the next similar business case is checked against a record that was more likely to show a pass than a miss.

The cut keeps this year's money. What it spends is some of your ability to tell good projects from bad ones.

What to check instead

Keep the cut if your budget discipline needs it. The fix is to stop closing the benefit on the held budget, and to check where the money came from.

At approval, name an operating measure. This is a count of the work the project is supposed to change, taken from the system where that work happens. It might be cases handled per hour, licenses in use, or contractor hours on the process. Record its baseline before the work starts. Also record what each unit of change actually saves in cash. That is not the same as its average cost. Fewer contractor hours save what the contract charges for them. An hour of staff time saves nothing unless the position or the overtime goes. None of this is new. Benefits guidance already asks for a measure and a baseline that can be compared after delivery.

What this paper adds is the question at year end. Ask the budget holder how the lower budget was met: through the change the project made, or by other means. Ask whether each part will recur. That person has every reason to shade the answer, which was Jensen's point [2]. So check the answer against the operating measure. The project's saving is the smaller of two amounts. One is the measure's movement, priced at what each unit saves. The other is the actual fall in spending on the cost line the project affects. The measure catches money found by other means, including a delayed purchase on the same line. The cost line catches a measure that moved without saving cash, for example when freed hours are soaked up by other work. That is the same leak Bain describes, and this rule does not count it as money.

You might worry that the operating measure now becomes a target, and so gets gamed. It is not the budget holder's target; the budget is. But the project's sponsor does want the benefit counted. So take the measure straight from the system where the work is recorded, not from a report the sponsor or the budget holder prepares. It is the one record in this check that the cut did not set in advance. No measure is immune to gaming. The point is to have a check that can fail.

The question has precedent. The UK government's savings rules refuse a claimed saving that is "just relocating or deferring costs." They ask that it be "seen as reasonable by an impartial third party" [5]. Those rules cover purchasing savings, not project business cases. But they show that asking where a saving came from is workable. The NHS reporting shows that tagging each saving as continuing or one-off can be done at scale [3]. If your organization already tags savings this way, notice who supplies the tag. Often it is the same budget holder, and the check against the measure still applies.

Other ways to keep the check working

Each of these gives something up.

You can hold the saving back until the review. That removes the pressure to fill a gap. But it leaves the money in the budget, where it leaks, and leaked spending can muddy the check too.

You can cut now but keep a central reserve that covers savings that slip. That keeps the money in view and removes the local pressure to fill. But it asks units to declare a slip, and someone still has to judge whether the project or something else caused it.

You can lower the budget in stages as the measure moves. That keeps most of the money and most of the check. But it delays the money and still needs the measure.

You can cut now and promise to restore the budget if the measure does not move. That removes the pressure too. But it hands back money you may need, and it invites a weak case for getting it back.

Or you can skip the cut and lose the discipline. Cutting now and checking the source keeps the money now and restores the check.

When it is worth the trouble

The check matters most where you approve similar projects again and use past results to judge new cases. For a one-of-a-kind project, where the cut is only budget discipline, the record matters less. This paper offers no figure for what the check costs. The check itself is one measure, one per-unit saving, and one conversation per project. Whether that is worth it is a judgment, not a measured finding.

The argument has limits. It applies to cost savings taken out of an operating budget at or near approval and tracked only in money against the budget that was cut. It does not apply to revenue or quality benefits, which are not budgeted this way. It does not claim that cutting the budget makes projects fail, or say how often projects fall short. Its claim is narrower. The cut makes success and failure harder to tell apart in the record, and it tilts the record toward success. A measure the cut did not set is needed to tell them apart. That measure is not proof on its own, since other changes can move it too. The review still has to weigh those changes.

The approval question changes from "is the saving in the budget?" to "what will show whether this project produced it?"

Sources

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